This paper explores “self-targeting” in means-tested government programs by estimating differences in lifetime consumption/income for program participants vs. eligible non-participants using data from the PSID. They find that, for certain programs such as SNAP, eligible non-participants have higher lifetime consumption even when conditioning on current income. This suggests that a budget-neutral policy that automatically enrolls all eligible individuals would worsen the progressivity of the program. They evaluate the welfare consequences of “going automatic” using a sufficient statistics formula concluding that the benefits of self-targeting are six cents per transfer dollar.

This is a nice contribution to the literature on take-up and targeting. One benefit of the framework in this paper relative to the existing literature is that it does not focus on one specific take-up burden, but rather considers the effects of a broader policy of going automatic. In other words, while the existing literature investigates targeting properties of various complier populations, this paper explores the distributional effects of automatically enrolling all compliers and never-takers. However, existing data shows that eligible nonparticipants are better off than participants based on current income and consumption and the results based on lifetime measures are qualitatively similar. Therefore, while removing certain burdens has the potential to improve targeting depending on the complier population, it is not at all surprising that going automatic worsens targeting. Detailed comments below.

1) Current versus lifetime measures. The first contribution of this paper is to use the PSID to estimate lifetime income and consumption of participants and nonparticipants. The authors use SNAP as a focal program and find that eligible nonparticipants have higher lifetime income and consumption than participants. As mentioned above, my biggest concern is whether these results are surprising based on existing knowledge. For example, the National Household Food Acquisition and Purchase Survey includes data on income and expenditures for SNAP participants as well as eligible nonparticipants and finds that participants have substantially lower incomes than eligible nonparticipants (128 vs. 226% FPL). A similar pattern holds when examining weekly food expenditure. The magnitudes of these differences may differ when using lifetime measures, but the qualitative results that are the basis for the findings regarding self-targeting are the same. A more minor point relates to the motivation for considering lifetime measures. The authors state that “consumption and lifetime income are superior measures of living standards to current income, since households can save or dissave to smooth transient shocks.” While it is interesting to know how these lifetime measures differ from current income measures, the purpose of a safety net is to provide basic needs during times when individuals cannot smooth consumption through saving and dissaving. While neither is a perfect measure of need, current income seems more closely aligned with policy goals.

Source: Tiehen, Laura, Constance Newman, and John A. Kirlin. "The food-spending patterns of households participating in the Supplemental Nutrition Assistance Program: Findings from USDA's FoodAPS." (2017).

2) Going automatic. I think the paper could be strengthened by tying the policy of going automatic to actual policy proposals. To start, going automatic is actually much more logistically difficult than portrayed in the paper. Many of the administrative burdens that exist in current policies are not designed with advantageous targeting in mind, but rather are necessary steps to

determine eligibility. Assessing eligibility for most programs is very difficult, even with the best administrative data. For example, the "Medicaid auto-enrollment" program mentioned in footnote 2 is actually a continuous enrollment policy in which all Medicaid enrollees maintained coverage until the end of the Public Health Emergency, but it did not automatically enroll all eligible households. This makes the studied policy more of a thought exercise than an implementable policy.

It might be helpful to connect this policy exercise to recent policy discussions around universal basic income. UBI circumvents issues related to assessing eligibility, but the targeting properties are even worse than going automatic since the program is not means-tested. This might also be a way to motivate the assumption of budget-neutrality in the paper's policy exercise since the cost of UBI is a key point in policy debates. As it stands, the budget-neutrality assumption is somewhat divorced from policy rules or proposals: SNAP and Medicaid, for example, are an entitlement programs, meaning that enrolling new beneficiaries does not reduce the benefits of existing beneficiaries, it just increases the cost of the program. I believe that many of the model's conclusions about progressivity may hold even without the assumption of budget-neutrality, so I would also consider removing that assumption altogether.

3) Heterogeneity by policy. The headline numbers presented in the abstract suggest there are overall benefits of self-targeting, but this conclusion varies quite a bit by policy. For example, Figure 1a shows substantial variation by policy after conditioning on eligibility. Can the authors shed light on why these differences exist and how policymakers can predict whether a given policy will benefit from self-targeting? This is critical for the generalizability of the results.

4) The estimates of take-up rates in Table 3 are far lower than those reported by program administrators. The table states that the SNAP take-up among simulated eligibles is between 27 and 37%, while USDA estimates are much higher ranging from rates in the high-50s in the early 2000s to rates above 80% in more recent years. This raises some concerns about the ability of the PSID to accurately estimate either take-up or eligibility. As an aside, when trying to make this comparison, it was difficult to determine what years the participation rates in Table 3 corresponded to: the data spans 1997-2019, but one can participate in one year and not the next, yet lifetime income is fixed. The data section was admirably concise, but at times, that also meant it was somewhat opaque.

5) Table 2 does not condition on eligibility. I might be missing something, but I'm not sure what we learn about self-targeting when including populations that are not eligible for the program.

6) Minor point: The introduction states "Our findings contrast sharply with recent research examining take-up responses to marginal changes in ordeals, whose mixed results have called into question the relevance of self-targeting." I think this misstates the connection to the prior literature. As the authors describe very nicely in section 3.1 at the top of p.10, the question "should transfers be automatic?" and "should ordeals change?" are distinct policy questions.